

CHAPTER SEVEN

7. Issues in the Performances of PEs

7.1 Criteria of Performance Evaluation and the Competence Debates

The efficiency and effectiveness of the PE sector contributes to the growth of the national economy.

Therefore, we need to know:

- The level of efficiency and effectiveness of PEs,**
- The appropriate criteria to be used for measuring their performances,**
- The capacity of the evaluators to determine the success or failure of PEs,**

- **Ideology-free and genuine analysis shows that most PEs have not been as efficient as expected, or as distortedly reported.**
- **Consequently, politicians, policy-makers, planners, researchers, etc. began at some point to view PEs with dismay that they are simply “unmanageable monsters”.**
- **In particular, PEs in developing countries demonstrate underutilization of capacity, low productivity, inflated inventory, unbalanced input-output ratio, overstaffing, and so forth.**

- **All these features would obviously result in heavy losses and budgetary burdens on gov't.**
- **In certain cases, however, evidences are available in developed countries where PEs have been showing excellent performances.**
- **The analysis therefore turns to another direction that, given the right attitude, systems, and management, PEs can do better like their private counterparts.**

The success or failure of any PE must be judged in terms of the:

- **Purposes stipulated in the establishment laws.**
- **Special privileges (like grants, loans, tax exemptions) given to them.**
- **Special obligations (like standard procedures, rigid operational methods, social responsibilities, etc.) imposed upon them.**

Moreover, PEs operating with full autonomy and in a competitive market with no or less social obligations can be evaluated in comparison with the performance of private enterprises operating in the field.

- **This approach is legitimate only if the market is free and competitive, and if no constraints or advantages are given to PEs that are not equally applicable to private enterprises.**
- **It is then important to ask the ways economic viability is to be measured.**
- **Should prices be set relative to investment and operation costs plus a larger or smaller margin of profit ?, or**
- **Should prices be set relative to the market prices of comparable imported goods, or both?**

- **As frequently mentioned, PEs are mostly created to serve multi-purposes, which makes evaluation of their performances difficult.**
- **PEs such as: water, electric, public transport, and other utility services, whose motives are ‘public service first’ and ‘moneymaking second’, cannot be judged by their profit level.**
- **Hence, the size of profit of alone cannot be the perfect basis of evaluating the success of PEs.**

- **In general, it is not easy to measure the success or failure of such enterprises simply by referring to their financial contributions alone;**
- **Doing so could give inaccurate and misleading results.**
- **Thus, judgment about the performance of PEs should be made from different angles.**
- **“Management accounting” or “Coast accounting” is usually applied as a good system to measure the performance of PEs.**
- **Mgmt. accounting considers other factors (uneconomic programs) in addition to cash expenditures.**

- **Mgmt. accounting helps not only to show the current financial status of the enterprise, but also provides reliable information to the gov't for future actions.**
- **As to the question of who should evaluate PEs, many countries assign a gov't comptroller or a private audit firm to undertake the task of auditing.**
- **In other case, a separate gov't agency could be created to conduct such audits, like:**
 - ✓ **State Enterprises Audit Organization in Ghana,**
 - ✓ **Audit Corporation in Tanzania, and**
 - ✓ **Audit Service Corporation in Ethiopia.**

7.2 Factors Affecting the Financial Performance of PEs

- **As frequently said, the experience of developing countries, especially SSA, show that PEs have not lived as expected by gov'ts or the public.**
- **PEs have neither generated the anticipated rates of return on money invested, nor attained their non-commercial objectives such as employment generation, technology transfers, and balanced regional dev't.**
- **The question is therefore why do they often fail?**

- **The following could be cited as the major factors that affect the performance of PEs, particularly in Sub-Saharan African Countries.**

(i) Distorted Pricing Regime (Policy)

- **In most African countries, underpricing (setting prices below even costs) has been applied as a policy decision for public paying capacity or affordability reason.**
- **Such faulty pricing regimes exerted negative effect on their financial or economic performances.**

(ii) Infeasible investment decisions

- **Before the emergence of SAP, PEs in Africa have been created without adequate feasibility studies (without the analyses of economic and effective demand factors).**
- **The so called feasibility repots were often defective.**
- **PEs have been created in the absence of systematic linkages to the rest of the economy.**
- **Hasty decision was the root of the causes for the present problems of the PE sector in Africa.**

- **The Ethiopian Socialist Gov't was known for making important decisions without sound economic and technical feasibility studies.**
- **An illustrative example was the case of state farms, which were created or nationalized without proper economic and technical analysis that resulted.**
- **The decision has resulted in wastage of scarce resources and huge financial deficits.**
- **In other words, defective investment decisions have not yielded commensurate economic and social returns.**

(iii) Heavy Social Overheads

- **PEs were subject to make heavy expenditures on social overheads, such as building of townships, schools, health centers, community centers, theatre halls, in-farm and off-farm roads, sport facilities etc. around or within their premises.**
- **The prevalence of social objectives greatly complicated the operation of the PEs and make the commercial criteria almost irrelevant.**
- **This feature has been true for many PEs of Ethiopia, including states farms.**

(iv) Undercapitalization

- **Many PEs in SSA suffer from insufficient equity capital, due to excessive overhead and administrative costs, erosion of their capital bases, enduring losses, and inflation.**
- **Drastic cut in gov't subsidies to PEs due to the requirements of the SAP worsened the problems of under-capitalization.**
- **This has led PEs to rely on commercial borrowing payable at high interest rates to finance new investments and recurrent expenses. The sum effect of this option is accrual of huge arrears.**

(v) Political Interference

- **The economic crises of PEs in SSA has also been aggravated by undue gov't interference.**
- **PEs have been run as personal properties of the political leadership and their immediate circles.**
- **This tradition has continued to-date in many countries of SSA.**
- **Even decisions concerning the location of PEs have been made by personal interest, mainly to the birth place of decision-makers.**
- **E.g. “white elephant projects”).**

(vi) Excessive control

- **Excessive control practiced by various organs over PEs also thwarted the initiative of mgmt. and adversely affected their efficiency.**
- **The mgmt. of PEs is highly centralized in SSA which makes them prone to stifling bureaucracy and excessive control.**
- **Important decisions like new investment, pricing, employment, wages, etc. are made at the top, leaving little autonomy to internal managers.**
- **These situations affected the morale and productivity of PE managers**

(vii) World Economic Pressure

- **Unpredictability of the international economy, fluctuation of foreign exchange rates and prices of imported inputs and commodities are the major external economic challenges to PEs.**

(viii) Absence of clear-cut objectives

- **PEs in SSA were created without clearly defined objectives they had to accomplish.**
- **As it has been repeatedly said, the multiplicity of objectives of PEs are conflicting with each other.**

Generally, issues surrounding the performance of PEs are so complex and less clear-cut.